Investment Committee Decision Memo

Tesla, Inc. (TSLA) | Valuation date: September 30, 2026 | USD millions except per-share data

Recommendation and committee ask

DO NOT INITIATE at the September 30 reference price; retain TSLA on a watch list. The committee is asked to decline an initial position until a refreshed, independently reconciled model supports a materially different conclusion.

Decision context

Target: Tesla common stock. The fund has no position. The analysis uses FY2026E-FY2030E explicit forecasts, a perpetuity-growth terminal value, and 3.528bn FY2025 diluted weighted-average shares consistently across methods. Automotive, energy, and services are forecast. The bridge adds reported cash and short-term investments, deducts debt and finance leases, and does not separately value future products, optionality, or unmodeled capital claims.

Valuation evidence

Method / measure	Result	Interpretation
Base FCFF DCF	$21.21 / diluted share	EV $39,158.52m; equity value $74,841.52m; WACC 14.46%; terminal growth 3.0%.
DCF sensitivity	$19.02-$24.34 / share	15.5% / 2.0% through 13.5% / 4.0% WACC-growth combinations.
GM EV / revenue reference	$20.38 / share	Qualified one-peer operating reference; not mechanically averaged.
GM GAAP P/E reference	$25.43 / share	Qualified equity-value reference using FY2025 GAAP EPS.
Market reference	$354.81 / share	September 30 regular close; used for comparison and reverse DCF.

Range, assumptions, and limitations

The frozen valuation range is $19.02-$25.43 per diluted share. The FY2026-FY2027 capex profile produces negative FCFF of $8,781.8m and $1,770.9m before FCFF turns positive in FY2028. Terminal value is 99.0% of base enterprise value. Retaining $10bn as operating cash lowers the DCF result to $18.38 per share. A reverse DCF requires roughly 14.06% terminal growth to reach the market reference, holding explicit cash flows and WACC constant.

The range is sensitive to beta, ERP, cost of debt, terminal-growth, and operating-cash policy. GM is not a close economic peer because of its ICE-heavy mix, dealer model, and GM Financial business. These methods corroborate direction but do not establish a stand-alone price target.

Reversal conditions and monitoring

Reconsider after independently reconciling dated WACC, close, shares, and bridge inputs; observing sustained positive FCFF and capex efficiency above the base forecast; evidence of durable automotive gross-margin expansion; or a revised case supporting value nearer the market price without terminal growth near WACC. Monitor quarterly automotive, energy, and services revenue; gross margin; capex; liquidity; debt and leases; diluted shares; and updated guidance.

This is a FIN 43900 course-project valuation and not investment advice.